

Section 4

Leveraging the Global Advantage

Chapter 1

Why Enterprises need a Global Delivery Model in the Digital Age

The global delivery model is crucial for success in the digital age. Enterprises are facing the dual challenge of protecting their existing revenue streams while investing for future growth. The global delivery model is essential for reducing costs while simultaneously increasing the velocity of transformation/innovation as well as addressing the skill gaps in building world-class capabilities.

Key Takeaways

Key imperatives to win in the digital age

Actions to follow to solve the key challenges

How Global Delivery Model will solve these vital challenges?

Lesson 1: The GDC Model and three key imperatives to win in the digital age

The Global Delivery Centre (GDC) Model:

GDCs are absolutely pivotal for enterprises to succeed in the digital age. Technology is the core foundation of digital, and GDCs are the centre of gravity for this technology execution. They provide not just the cost but also the innovation and velocity advantage necessary in this VUCA world. While GDCs have existed for many years, to meet the new expectations from technology in the digital age, the GDC's proposition and operating model have to change significantly. Historically, GDCs have been seen as cost and execution centres; this needs to change, and they have to become revenue and innovation centres. This is a fascinating opportunity. Enterprises that are able to make this transformation and leverage global delivery effectively will stand to gain a real advantage in the digital age.

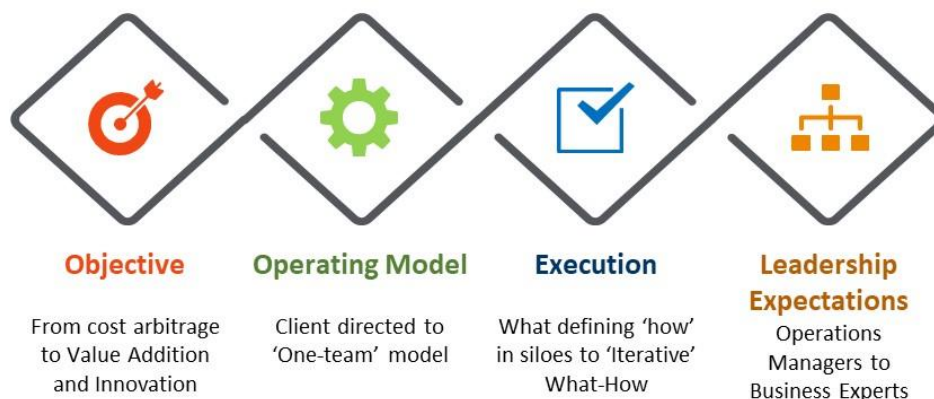
Nitin's insights

I have been a participant and a leader in this industry, helping shape the evolution of the GDC over the past twenty years almost. I led McKinsey's Knowledge Centre in India from 2002 to 2010, and that was not just an opportunity to build a cutting-edge centre that was continuously defining what could be done from a GDC, but it also became a showpiece for us at McKinsey to demonstrate GDC best practices to our clients looking to set up GDCs themselves. Subsequently, I led the global delivery network for Fidelity's international business for six years. Along the way, I led the Global Inhouse Centres forum for NASSCOM (the industry body in India for IT and BPO companies) for a number of years, where I helped define the value addition framework and maturity roadmap for GDCs.

It has been a fascinating journey for me to see – and shape – how GDCs have grown from being support centres to becoming a source of competitive advantage for global enterprises. This opportunity to leverage the global advantage – the why, what and how of it – is the focus of this section.

Building Block 4 - Global Delivery Model

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The three key imperatives to win in the Digital Age:

- **Address the dual challenge of protecting existing revenue and investing for future growth** – As businesses and product cycles get shorter, enterprises must defend their existing revenue streams and constantly self-fund new strategic initiatives for future growth. According to research by S&P, of twenty-five industries across the globe, almost all the industries are battling headwinds that are constraining growth and posing risks to credit quality.¹ Research by MIT Sloan on the performance of 1,200 companies in six of the most asset-heavy sectors – telecommunications, utilities, energy, materials,

automotive, and industrials – revealed an equally worrying trend.² Traditional enterprises are facing ‘industry compression’, which results in a prolonged decline of both operating profits and revenues. So, they must invest in new initiatives and adjacencies so that new revenue streams garner a higher share in the mix over time. A good example of this is in telecommunications, where average revenue per user (ARPU) from voice has declined by ~19 per cent globally during 2013–15³ and has been declining since. So, it is natural that telecoms have invested heavily in building 4G/5G infrastructure so they can increase revenues from new solutions and services.

- **Drive transformation to be ready for the cloud-first world** and not get caught in incremental and catch-up moves. This is the key to achieving hockey-stick performance. We are observing a trend of polarization and a widening gap between the performance of high-growth companies and that of the rest across industries. According to McKinsey, the gap between the top 10 percent of the best-performing companies by economic profit and bottom 10 percent of worst-performing companies across sectors is increasing.⁴ That gap is much wider and the polarization greater than what we witnessed in the 2008 crisis. Unless the leaders think about ‘what could be’ and not just focus on improving ‘what is’, the chances of breakthrough performance are bleak.
- **Thrive against new-age competitors** that are setting growth benchmarks across industries. According to Innosight research, in 1965 the average tenure of companies in the S&P 500 was thirty-three years. By 1990, it was twenty years. This is forecast to shrink to fourteen years by 2026. About 50 per cent of the current S&P 500 constituents are likely to be replaced over the next ten years.⁵ As digital maturity increases in the industry with mainstream adoption of digital among customers, there is a higher likelihood of laggard incumbents dropping off the league tables. This has been observed in industries like traditional media, where digital agencies have outperformed them, and in retail, where e-commerce accounts for a high market share today.

In order to address these three imperatives, enterprises must do the following to solve their key challenges:

1. **Reducing existing costs to self-fund new strategic initiatives**

Long-term profitable growth requires a prudent approach towards tackling the cost structure. Enterprises are looking for ways to reduce business-as-usual costs while increasing the share of change-related costs in an overall reducing cost base. Strategic offshoring/outsourcing that rationalizes legacy high-cost teams to build nimble and efficient teams is one way. This helps enterprises reduce their costs by ~50–60 per cent. These savings help to drive key strategic capability building initiatives so that the enterprises can become stronger and drive competitive advantage. A Deloitte study has said that 84 percent of enterprises have moved ahead towards disruptive solutions, powered by just the cost advantage of outsourcing.⁶ These organizations have conducted pilots and/or implemented disruptive solutions as a result of strong relationships with the vendor and the capabilities they bring.

2. **Increasing velocity of transformation and innovation**

As the customer needs are evolving fast and new-age competitors are emerging as a threat, enterprises are adopting the iterative ‘strategy + product’ mindset to stay ahead of the curve. This defines the new way of working wherein what and how are iteratively evolved overtime, which

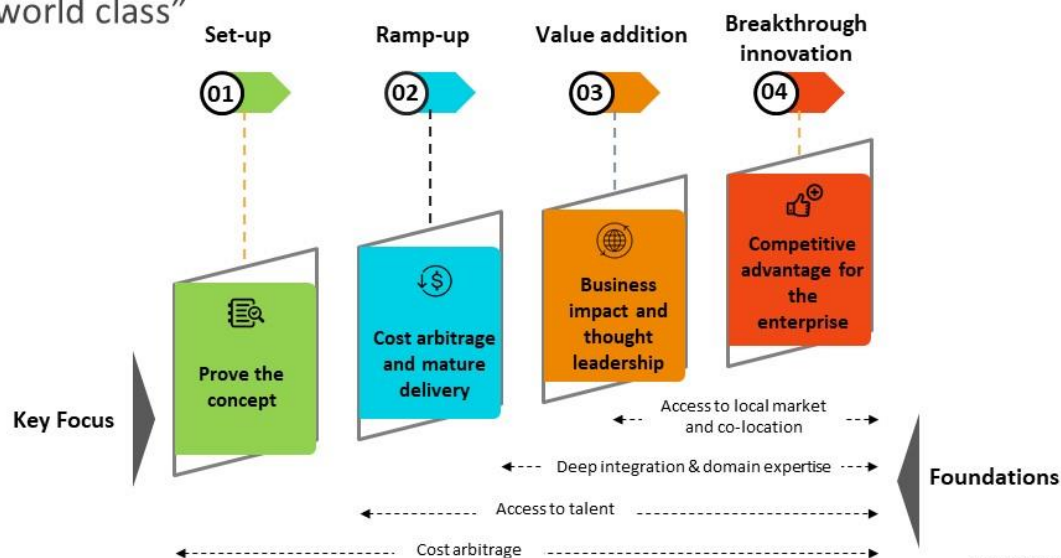
accelerates the core value delivered to customers while addressing their fast-evolving needs. A celebrated example in this is the Spotify model of Squads and Tribes to enable alignment of teams and cross-pollination of knowledge. This generates higher velocity of engineering for new products and features that deliver better customer outcomes. This is a key consideration for enterprises, says a Deloitte survey, where 40 per cent of the respondents consider innovation as the key contract component while they go for a global delivery model.

3. **Addressing skill gaps in building world-class capabilities with relevant domain and technology skills, e.g., cloud**

One of the biggest challenges for enterprises when adopting and embedding digital capabilities lies in finding the right talent with niche skills – e.g., in data science, AI and cloud, where there is a widening gap between demand and supply. All this has to be done against a backdrop of changing customer expectations too, and different skills have to come together to satisfy these customer needs. Additionally, HR, compensation and location policies have to be put in place to attract and retain the specialized talent required to operate in the cloud.

GDCs (Global Delivery Centers) maturity curve to “world class”

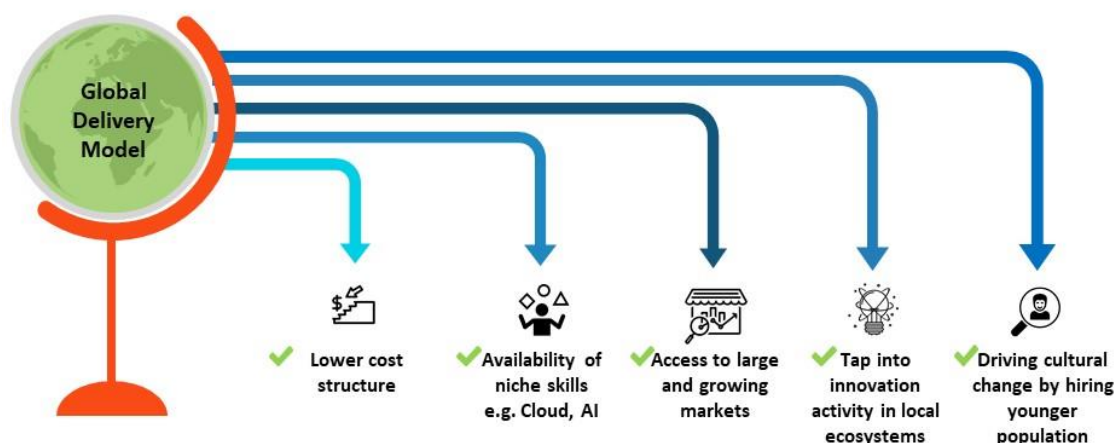
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Lesson 2: Global delivery model – the solution

Enterprises must consider Global Delivery to succeed in Digital age



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The Global Delivery Model, over the last two decades, has been a well-known resort of enterprises that want to build a scalable operating model with lower costs. This is so for the following reasons:

- **Cost structure** – India and a number of other lower-wage-cost countries continue to offer substantial cost advantage, despite higher inflation. The US, for example, has 3-4x higher costs at entry/mid-level across functions compared to India.
- **Availability of skills** – These countries also have a large and younger talent pool, which can be trained in new skills like AI and cloud. These niche skills are not in robust supply today, while demand is increasing as digital transformation is now mainstream. For example, India produces 2.8 million engineering graduates annually, a much larger number than the US, which has 0.6 million engineering graduates passing out each year.⁹
- **Large and growing market** – Markets like India are among the fastest-growing, and this provides enterprises the opportunity to serve the local markets. Many enterprises that have established GDCs in locations like India also open up sales operations to establish brand presence in these local markets.
- **Innovation activity in local ecosystems** – Many emerging economies are becoming hubs of innovation given the combination of existing technology ecosystems and young talent. Many industry associations like NASSCOM (in India) are setting up incubation centres that are encouraging innovation. As enterprises are always looking for ideas that can propel their businesses ahead, tapping into such incubators and accelerators can add tremendous value.
- **A younger population makes it easier to drive cultural change** – It is much easier to drive a cultural change when the employees are younger. For example, at McKinsey, a knowledge centre in India contributed significantly to

the cultural shift in the way the research function operated and eventually became the most significant innovation hub for a global firm.

Nitin's conclusion

The global delivery model is necessary for an enterprise to be able to compete in the digital age. It can be the source of competitive advantage and a secret weapon of success. The global delivery model is key to reducing costs structurally while also self-funding initiatives for future growth. And one must remember that in this environment, reduction of costs alone is not sufficient; enterprises must simultaneously increase the velocity of transformation/innovation and address the skill gaps in building world-class capabilities. To make this happen, leaders must keep in mind that the traditional outsourcing and offshoring model – with its segregated team structure, onsite and offshore – and its differentiated roles, is no longer relevant in the digital world. Enterprises must create a one-team structure that tightly couples strategy with execution and must also bring a product mindset across functional teams.

Section 4

Leveraging the Global Advantage

Chapter 2

Global Delivery Centres nearing a Tipping Point, and ready to step up

Many GDCs are uniquely positioned to be a strategic asset for enterprises by virtue of their scale and co-location of capabilities. Additionally, the GDCs' leadership maturity can further accelerate value realization for enterprises.

Key Takeaways

How GDCs are creating opportunities for enterprises?

Lesson 1: How GDCs are creating significant additional opportunities for enterprises

Many GDCs have reached a tipping point and ready to add value beyond cost arbitrage



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1. **Domain expertise** – GDCs are going beyond functional and technical expertise and building a deep understanding of the parent company's

business and the industry it operates in. This enables both higher value addition in existing roles and ability to undertake more complex, 'front office' roles.

2. **Scale** – Some GDC centres have emerged as the largest operating sites for their parent companies, often housing a significant proportion of their total headcount. This provides enterprises the opportunity to drive change across the organization and leverage their scale to invest in innovation.
3. **Co-location of functions** – Many GDCs have become microcosms of their parent organizations, with co-location of capabilities across functions and regions. Often, a GDC is uniquely placed to offer co-location opportunities that go beyond traditional organizational structures, i.e., the only site where that co-location is possible. This helps facilitate innovation and superior delivery through collaboration.
4. **Leadership maturity and network building** – GDCs often boast a leadership that has built a deep understanding of the parent company's culture. In addition, GDCs have strengthened their delivery credibility and networks within the organization. This makes it easier for GDCs to engage in strategic discussions and get senior sponsorship.

Nitin's conclusion:

These four factors, coupled with the global enterprises' increasing confidence in their GDCs, are strengthening the enabling environment required for the centres to deliver the next level of value addition. Moreover, the highly competitive environment that many global enterprises now operate in is creating an additional thrust for the GDCs to look at radical options to redesign their business models. Given their increasing maturity, GDCs can now emerge as a strategic option, not just for COOs/CFOs but also for CEOs and heads of businesses.

Section 4

Leveraging the Global Advantage

Chapter 3

Global Delivery Centres can be Innovation and Revenue Centres

Today, best-in-class GDCs are delivering substantial value-added benefits by being both innovation and revenue centres. On the one hand, they are becoming centres for change/continuous improvement for enterprises, and on the other, they are moving up the value chain in existing services. 'Cost+talent+domain expertise' is the success recipe for GDCs in the digital age.

Key Takeaways

Six principles to move GDCs up the value chain, driving end-customer and revenue-centric value addition

Lesson 1: The value addition framework

GDCs as Innovation and Revenue centres

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The framework for value addition for GDCs has four interlocking levers

Input Levers

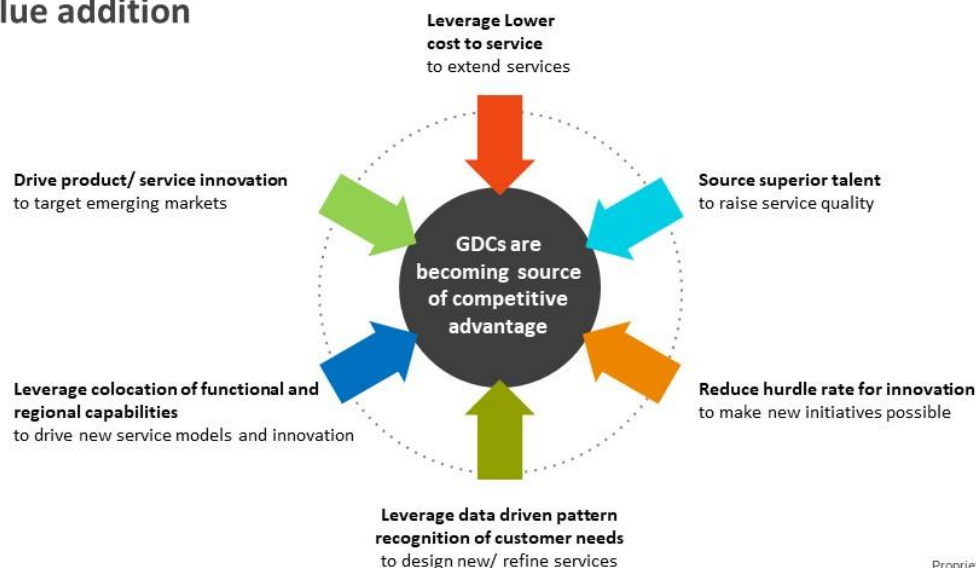
- **Many GDCs** started their value-addition journey by focusing on expertise. We see many examples of expertise: business research, investment research, analytics, R&D and many more. While building these high-skill capabilities in itself has been a great value-add, they have also helped raise the organizational DNA of the GDCs. This has helped create more opportunities for innovation and has also raised the relevance of the GDC among the senior management.
- **Innovation** – Most GDCs have historically had a strong culture of process improvement, as transitioning of work offshore was a natural opportunity to upgrade their processes. GDCs are beginning to go beyond process innovation and focus more on product innovation. Tech product companies like Cadence and SAP have been doing some great work on product innovation, and there is opportunity for service companies to now learn from them.

Output Levers

- In the fiercely competitive business environment we have today, improving customer experience is a key priority. In my ex firm Fidelity, for example, improving our customer net promoter score (NPS) had become one of our foremost KPIs, perhaps even more important than asset gathering and profitability. Given the scale of GDCs and the fact that they are engaging deeper and deeper with the customer delivery process, GDCs have a unique opportunity for raising the bar when it comes to customer experience.
- **Revenue impact** is the holy grail. Most GDCs started as cost centres, but there is a real opportunity for them to contribute to the enterprise's top line, both directly and indirectly. Analytics has opened up so many avenues for improving marketing effectiveness and therefore revenue yield. I find it very exciting to see many GDCs designing and delivering end-to-end services that have significant revenue impact, thus making a direct impact on the top line.

Lesson 2: 6 principles to drive end-customer and revenue-centric value addition

Six Principles for GDCs to drive revenue-centric value addition



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1. **Leveraging lower cost to serve to extend coverage of services** to segments that are difficult to serve using traditional models – A significantly lower cost structure opens up opportunities that might otherwise be difficult to access. Many banking GDCs have used this principle to extend coverage of collections below ticket size that would otherwise have meant a negative ROI.
2. **Sourcing superior talent** (given availability of high-quality talent at low cost) to dramatically **raise service quality** – Instead of aiming for 5–6X cost arbitrage, some companies go for lower arbitrage and invest the surplus into significantly raising the talent profile relative to what they have worked with in the past. This is a huge opportunity to totally redefine service quality. When the McKinsey Knowledge Centre started in 1998, it started by hiring ten MBAs. This was a significant departure from tradition as McKinsey had until then largely relied on library and information science profiles for its research function. This was a gamechanger and eventually led to a significant upgradation in the scope and role of the research function globally at McKinsey. Another example has been the setting up of hi-quality sales-support functions by many GDCs. This has helped front-line sales teams to focus on their customers and be a lot more productive in their sales efforts.
3. **Reducing the 'hurdle rate' for innovation, making possible initiatives that might otherwise not be feasible** – The combination of low-cost and high-quality talent is a great enabler for innovation. I call it the 'golden equation'. Traditionally, lower costs have been leveraged for reducing the per unit cost of services. But the same can be leveraged to reduce the investment costs for innovations. This can allow an enterprise to de-risk its innovation programme and, simultaneously, significantly increase its innovation capacity. I have leveraged this principle both in McKinsey and Fidelity, where we established new, specialized analytics services for the firms from India. Creating these new capabilities in New York or London would have been very expensive, and thus these ideas might have never seen the light of day. We were able to get going on pilots for these innovations in India with minimal investments and prove

the concept. Many companies intuitively leverage this principle. There is a tremendous opportunity to use it more explicitly.

4. *Leveraging customer data for **'pattern recognition' of customer needs to design new/refined services*** – Many GDCs run customer delivery processes and are therefore close to customer requests and data. This is a tremendous opportunity to not just learn more about customers but to also leverage the insights that come along to develop new products to serve repetitive customer needs and solve pain points. At McKinsey Knowledge Centre, we analysed the research requests coming from consulting teams to develop a series of research products that not only raised analyst productivity but also significantly improved quality. These research products eventually served as the basis for new knowledge-oriented services that McKinsey introduced for its clients. Another example is the marketing analytics function that many GDCs have built; this function looks at customer data and provides rich insights to business unit heads on a regular basis.
5. *Leveraging **co-location** of functional and regional capabilities to drive **new service models and innovation*** – I have pointed out that many GDCs are a complete microcosm of their parent firms. They often house multiple functions and serve different business lines and geographies. This co-location feature is a unique opportunity for collaboration, which might not be available to the firm anywhere else in the world. Innovative ideas often come not from within a box but at the intersection of many boxes. Especially powerful are the collaboration opportunities between analytics and technology in the big data space, and between operations and technology, given the increasing push towards automation and creation of service platforms. Another powerful opportunity here is for knowledge sharing and creation of global products/capabilities when functions serving different geographies are co-located.
6. *Driving product/service **innovation for emerging markets*** – Many enterprises have leveraged their GDCs as incubators for launching their businesses in the local markets. The opportunity goes beyond just rolling out traditional services in these markets. Emerging markets like India are often very competitive and require innovations in service offerings and delivery models for enterprises to be successful. These innovations in services and products can be powerful exports to more developed markets. McKinsey did some of its most significant experiments in 'productizing' its knowledge capabilities into new client service lines in India by leveraging its knowledge centre here. Many of these services eventually developed into large global service lines. Another example is from telecom, where a very simple product that was developed for an emerging market showed very high satisfaction among new customers. This was later introduced in developed markets by the large telecom company.

Nitin's conclusion:

Clearly, GDCs can help the global enterprises go beyond cost arbitrage. If the cost + talent proposition and the growing maturity of GDCs are leveraged effectively, they can transform the GDC from a cost centre into a revenue centre. It can become a strategic lever for business heads to solve many critical problems, thereby more profitably serving existing segments, achieving speed to market in developing new products and services, and entering new markets.

The specific value-addition opportunities for GDCs can vary widely. That will depend on the industry in which the individual GDC operates and the stage of its offshoring journey, as well as the organizational culture and capabilities. For example, organizations setting up a GDC for the first time will have the advantage of being able to embed a strategic role in the DNA of the GDC from the very beginning, which creates an opportunity for the GDC to contribute more and thereby become a source of competitive advantage for the enterprise.

Section 4

Leveraging the Global Advantage

Chapter 5

Evolution of Global Delivery Centres and the new ask of GDC leaders

The call to action for GDCs is to move from execution to leadership. This is the need of the hour so that GDCs and global enterprises can realize their opportunities in full. To make this move happen, the critical need is to develop a new generation of leaders who will be torchbearers at the GDCs on their journey from execution to leadership. Learn about the four critical shifts that are required to make this happen.

Key Takeaways

Six key aspects to the growing maturity of GDCs

Four critical skill sets of GDC leaders

Four shifts that GDC leaders need to make

Developing a global mindset

Lesson 1: Six key aspects to the growing maturity of GDCs and their movement from execution to leadership:

1. **Value addition is now a huge opportunity.** There are tremendous opportunities for GDCs to add value beyond what derives from the traditional focus on cost and productivity in back-office processes. There is significant momentum on building high-skill capabilities like research and analytics. In addition, there are many examples of GDCs driving product/ service innovation, especially for developing markets. Finally, there are emerging examples of their contribution to revenue generation. For instance, many GDCs are leveraging the cost + talent advantage to extend services to segments and markets that were earlier not viable for the parent organization to serve. This is a transformational opportunity, not just for GDCs but also for their parent organizations. It is now not far-fetched to visualize the evolution of GDCs from cost centres to revenue centres!!

2. **Cost and productivity continue to be important.** While there is a lot of interest in value addition, cost and productivity continue to be a focus area. It is still a core expectation from onshore stakeholders, and GDC leaders have to continue to focus on it.
 - The good news is that the GDC model continues to deliver 40–70 per cent savings, and these cost arbitrage benefits are not going away in a hurry. They are likely to be sustained for at least fifteen or twenty years, perhaps even running up to twenty-five years.
 - However, GDCs cannot rest easy. Some of the initial drivers of cost and productivity benefits might be diminishing. For example, the high growth many GDCs saw in their early years was helpful in efficient management of the talent pyramid and the per-unit infrastructure costs. With headcount growth plateauing, it becomes more challenging for GDCs to manage those costs. Therefore, GDCs have to push hard on operations excellence and talent model optimization to sustain and potentially improve benefits on cost and productivity.
 3. **Development of global delivery networks.** Many GDCs have moved from a single site in India to a global network of sites. While India might continue to be the largest of their sites, organizations want to have multiple options. Location selection has become more than just a cost-arbitrage decision. It is driven by mitigation of concentration risk, access to new pools of talent and strategic business considerations. Even within India, GDCs often have multiple sites and are expanding their footprint to tier-2 cities. In addition, GDCs within the organization are beginning to be managed as an integrated global network rather than as independent sites.
 4. **The sourcing model for GDCs is becoming more complex.** ‘Make versus buy’ has been a perennial debate. Many organizations have now moved beyond this debate, recognizing that there is a role for both and that these models can co-exist. Therefore, hybrid sourcing, where both in-house centres and vendors co-exist, is now increasingly becoming the norm. In addition, in a significant departure from the past, in-house centres are often being asked to play a lead role in managing the partner relationships for their firms, whereas earlier such relationships might have been managed directly by the head office.
 5. **Governance approaches are evolving.** Historically, GDC operating models have been at two ends of the spectrum – being either shared services models or vertical integration models. Given the evolving scope of GDCs, more complex hybrid operating models are emerging. This makes their governance, especially management of the matrix, more challenging. Moreover, placement of the GDC within the organization is also evolving. From reporting into the COO or the CIO, you now often have business heads taking direct interest in the GDCs. Consequently, the roles and expectations of GDC leaders are also getting enhanced in the context of their global organizations.
 6. **Workforce maturing and becoming more diverse.** Given the increasing maturity of GDCs, the workforce tenure is also increasing. This is a great opportunity but also a challenge. Many GDC staff have now acquired business expertise that can be leveraged for higher value-added roles. That is a great opportunity. However, there is also a need to provide the staff more challenging career paths and professional development opportunities. If you don’t, then there is the risk of losing your best talent. In addition, the workforce is becoming more diverse, with large numbers of the Next Gen joining, especially at entry levels.
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Nitin's insights

We have over 1,200 GDCs in India alone. Many of these GDCs have been in existence for more than fifteen years. GDCs are in a very different space now from where they were ten or twelve years back. Over time, they have grown not just in delivery capability and scale but also in business expertise, leadership maturity and credibility within their global organizations, who now realize the many unique advantages of this in-house model. Many GDCs have started moving to the next level, where their role grows **from one of execution to leadership** within their organizations.

Lesson 2: GDC Leaders: Four critical skill sets and shifts

Four critical skill sets:

1. **A global mindset.** The expectation is for a leader to not just be effective as a team player in a global environment but to influence and lead globally. This is becoming important because of three forces. First, the change of expectations of GDCs from process execution to thought leadership and development of global delivery networks, with India often taking the lead. Second, organizations increasingly look up to emerging economies as a source of talent. Third, the fact that leadership talent in GDCs in the emerging economies is relatively inexperienced.
2. **Entrepreneurial leadership.** The next stage of growth for GDCs will not be easy. Cost arbitrage-driven growth will reach a plateau at some stage and new growth will be driven by adding value to the business. This requires leaders who are not just solid operations managers but who are also entrepreneurial and business oriented. The new generation of leaders needs to be creative and commercial, understand the business well, and engage well not just with the COO/CIO or CFO but with the CEO too. They also need to have the courage to take risks and have the resilience to navigate any opposition and setbacks that are inevitable as you build something new.
3. **Networking and influencing skills.** Managing the matrix is a reality for every GDC. With the evolving scope of GDCs and governance models, it is becoming even more complex. You often need to assert your influence without having direct authority. You need to be a diplomat to navigate through and align multiple stakeholders with different agendas. And, you need to build a coalition of supporters who will sponsor and champion development of the GDC to the next level.
4. **Managing Gen 'Y'.** The GDC workforce is becoming more diverse and certainly younger. Gen Y offers great promise. They are creative, confident and have a lot more of the 'can do' attitude. However, the traditional command-and-control management style might not work with them. It is necessary to understand them well and connect with them to fully harness their substantial energies.

Four shifts:

Four shifts that GDC leaders must undergo to champion value addition



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1. From operations managers to thought leaders and innovators. GDC managers are very good at execution, at getting things done, whether it is project delivery or managing service quality. To be a thought leader and innovator they will need to build strategy and critical problem-solving skills. They will need to change their mindset from a focus on 'urgent and near-term' to learning to deal with 'important-but-not-urgent', because that is the nature of a lot of thought leadership and innovation. They will also need to manage more complex conversations. Managing execution involves relatively structured and predictable conversations. Thought leadership will entail more complex conversations, carrying greater possibilities of conflict with onshore stakeholders who might not be used to that mode of engagement from offshore managers.
 2. From functional experts to business experts. GDCs have strong technical and process skills; however, the key success factor in the next stage of the value addition journey is business and end- customer knowledge. Managers will need to invest in this self- learning, or they will get left behind.
 3. From 'safe pair of hands' to entrepreneurial risk-takers. Current processes and delivery models are often designed to minimize risk and ensure predictable delivery. For this we have tended to look for and encourage a 'safe pair of hands'. In an era where innovation is paramount, you need entrepreneurial risk-takers. This is not a simple change as it is deep-rooted in the culture of the organization. The senior-most leaders have to personally signal the culture change through their own actions.
 4. From local champions to global influencers. From managing teams locally, increasingly senior management will be expected to lead and influence globally. This requires high levels of multicultural sensitivity, sophisticated communication skills and, most importantly, deep understanding of global organizational priorities.
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Nitin's conclusion:

In summary, the change requires managers to step up and become leaders. The most critical aspect of this change will be drive, 'hunger' and a relentless pursuit of excellence. If we can build and sustain that passion and energy among our managers, the rest of the required changes will follow.

Lesson 3: Building Global Mindset – 6 lessons how

1. **Making an effort to understand:** The global manager should put herself/himself in the other person's shoes, be empathetic and try to understand their perspective instead of jumping to conclusions. She/he must be intellectually curious and have the urge to learn about new cultures and people.
2. **Exposure to novelty:** Going outside one's 'comfort zone' and continuously having new and varied experiences. This grows leaders and makes them more adaptable.
3. **Spending more time with global peers and clients:** Global leaders need to step out of their offices and spend more time globally. They need to go beyond operations and people management and focus on networking and relationship building.
4. **Going beyond self-interest and building trust:** To build trust, self-interest and the manager's own agenda must be suspended, to be replaced with a genuine wish to do the right thing for others. In addition, a leader must ensure open and honest communication. He must not hesitate to share bad news. Every crisis is an opportunity for building trust!
5. **Managing the matrix:** Organizational politics is a reality, so a leader must not shy away from facing conflicts in the matrix. Potential conflicts must be resolved by always bringing the focus back to what is right for the customer.
6. **Being natural and courageous:** While it is very important that the leader seeks to understand and then to adapt, it is equally important that the leader is natural and stays true to her convictions. She must trust her instincts, treasure her self- respect, and say what it is the way it is!

Nitin's conclusion

In summary, being an effective global leader is not about the cosmetics (e.g., language, fluency) but simply about the fundamentals of being a good leader. Like most things in life, it is important for a global leader to find balance between seemingly contradicting expectations. In particular, a global leader should find balance between 'cutting his/her chains' and 'staying true to his/her roots'.

Chapter 4

Realizing Full Potential of Global Delivery Centres requires changes in Organization Approaches

Despite the opportunities on the horizon, many GDCs have not realized their full potential. Enterprises must rethink their strategy to maximize value from their GDCs. These include structural and mindset changes with respect to the operating model, enhancing CXO-level engagement and bringing in entrepreneurial leadership at the GDC.

Key Takeaways

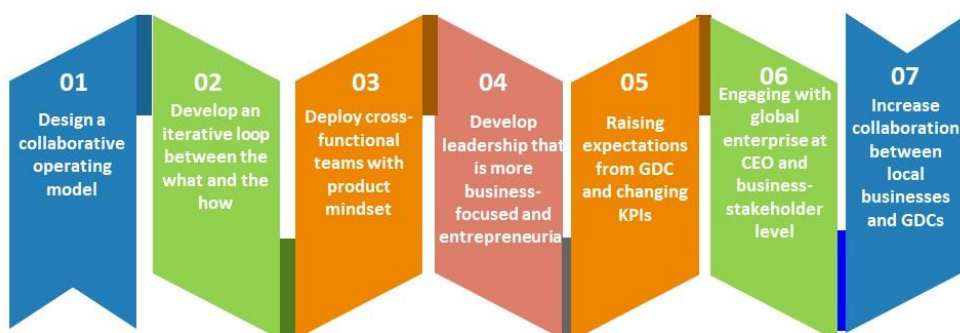
Changes in GDC approach

Changes in the global enterprise

Lesson 1: Stepping up and sustaining the value-addition journey

Illustrative changes in the GDC approach

Realizing full potential of GDCs requires changes in the organization approaches



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- **Designing a collaborative operating model** – Typically the working relationship between ‘onshore’ and ‘offshore’ (the GDC) tends to be very directed. Onshore gives instructions and Offshore acts as a compliant ‘order taker’. This model ensures that execution gets done efficiently and is quite helpful when the GDC capabilities are not mature. However, it is clear that such a directed model is not conducive to thought leadership and innovation that is so required in the digital age. For that to happen you need a relationship of equals, a partnership mindset that encourages collaboration and open thinking. This is a big shift that requires many design changes and has to be signalled from the top. As an example, I have seen the following two design changes work well for GDCs:
 - Aligning leadership and responsibilities by function/process rather than by geography (onshore vs. offshore) leads to sharper focus on the customer. GDC leaders should consider taking up end-to-end process ownership where relevant.
 - Defining a common measure of success, e.g., CSAT scores rather than operational SLAs, that lead to much better collaboration across teams.
- **Developing an iterative loop between the what and the how** – Customer needs are continuously evolving in the digital age. This requires an iterative process of experimentation of the ‘how’, which further informs the ‘what’ of strategy. The teams on the ground must, therefore, be regularly engaged with the bigger picture so that they can continuously inform the refining of strategy. This requires a shift in operating models. Often the ‘What’ has been defined ‘Onshore’ with ownership of ‘How’ being with ‘Offshore’. Such sequential models cannot work in the digital age when iterative feedback loops are critical. It also calls for greater collaboration and even integrations between Product and Engineering teams, which often are segregated ‘onshore’ and ‘offshore’ respectively.
- **Deploying cross-functional teams with product mindset** – Given that digital problems are interdisciplinary, enterprises must take a relook at their teams, defining teams that are cross- functional and bringing a strong product mindset among them. Traditionally, enterprises have created functional silos that are entrusted with limiting roles. This leads to lack of ownership of execution and creates friction points in successful execution. For example, an idea once floated with the CEO PMO would be taken up by the digital PMO and the IT PMO, which would further drive the programme along with the product team. Then an Agile lead would be deployed on it; this lead will work with a development team that has a separate testing function and release function. Is this not confusing? No wonder, many digital initiatives never get done or get delivered very slowly. The new way of deploying cross-functional teams is with a product mindset. In this, once an idea is floated it would go to a digital squad that comprises IT, digital, marketing and business leads. This would be tracked on a quarterly basis with the CXOs.
- **Developing GDC leadership that is more business-focused and entrepreneurial** (vs. being operationally focused ‘safe hands’) – GDC leaders need to have a deep understanding of the business so they can ‘join the dots’ between business needs and GDC potential. In addition, they need to be entrepreneurial to challenge the status quo, move people out of their ‘comfort zone’ and persevere to build new capabilities. A programme of rotating leaders across business areas and regions into and out of the GDC can help in grooming high-potential talent in both the parent company and the GDC.
- **Raising expectations from the GDC and changing KPIs** – GCCs need to demonstrate strategic intent by moving beyond operational SLAs to measure the value delivered. In addition, GDCs should push for ongoing value increase

and external benchmarking. GDC and parent company relationships are often in a 'comfort zone', but both sides need to have the awareness and courage to raise the bar on expectations. Without this change, it will be difficult to realize the full potential of the GDC.

- **Engaging with global enterprise at CEO and business-stakeholder level** (vs. engaging with just the COO/CIO of organization in traditional approaches) – This is necessary to ensure that the game-changing opportunities that GDCs can provide are part of business strategy discussions. Often, given the historical positioning of the GDC as a 'support centre', it does not figure in these strategic discussions. Ongoing engagement with the CEO/head of business can make it easier to form linkages between business problems and leverage the GDC to provide solutions.
- **Increasing collaboration between local/regional business and offshore service centres** to facilitate the client proximity required for innovation and to develop new products/services – Often, GDC leadership is far removed from the eventual client and does not have a good understanding of business context. This gap needs to be bridged for the GDC to play a more significant role in product/service innovation. Linkage with the local/regional business provides the most natural opportunity to make this client connection happen. To facilitate this, both the local business and offshore centres are brought under a single leadership, of which there are emerging examples.

Illustrative changes in the global enterprise

- **Reviewing the governance model** to reflect the increasing role and potential of the GDC. For example, GDC leadership should be included in senior global management forums so they have a 'seat at the table' and are empowered to drive significant initiatives and decisions. Often, this might require going beyond traditional organizational structures and hierarchy.
- **Reviewing the people model** at both GDC and the enterprise level and adapting it suitably. As the GDC's role in the core business areas grows, it will likely have an impact on the people model in the parent organization too. The people profiles, recruitment approaches, career tracks and other aspects of the people model might need to change. These need to be fully understood so the necessary changes can be made.

Nitin's conclusion:

Clearly, it is not easy to realize the full value-addition potential of GDCs. It will require significant changes in embedded organizational mindsets, operating models and approaches. Organizations that have the foresight and patience to make this change management effort can reap great business benefits.

Section 4

Leveraging the Global Advantage

Chapter 6

How to Build a world-class Knowledge Centre

Proprietary knowledge is a key requirement in the digital age for an enterprise's long-term sustainable competitive advantage. A knowledge centre can become a source of innovation, transforming the core proposition and service model for large global firms. Get leadership perspective of the journey and learn about the key building blocks necessary for a knowledge centre.

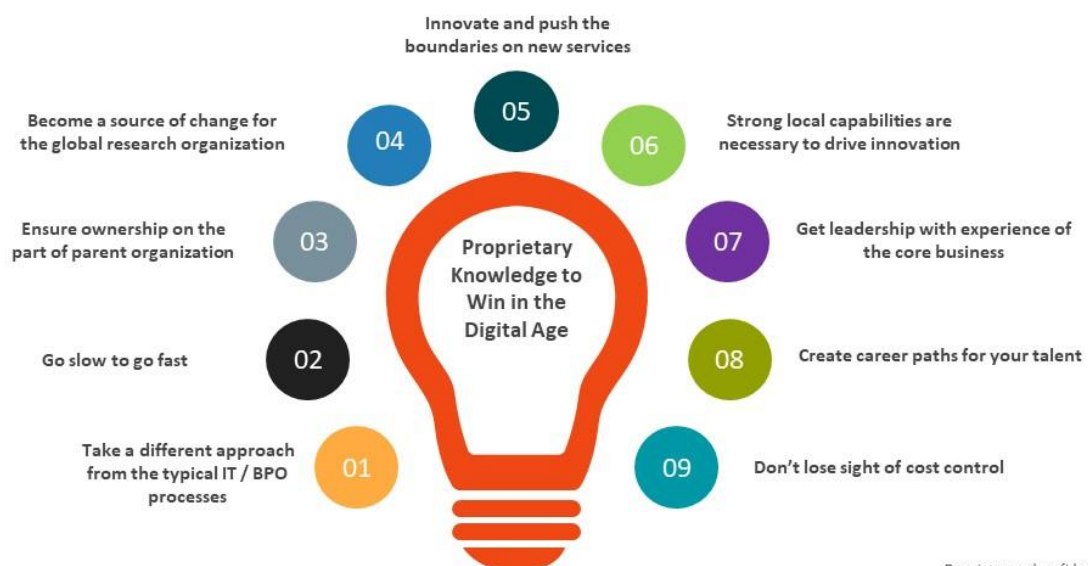
Key Takeaways

Nine steps to building a Knowledge Centre - A practical approach

Lesson 1: Nine key lessons from the development of McKinsey Knowledge Centre

Building blocks of a world-class Knowledge Centre

Digital Fundas
A CSR initiative of Incedo



Proprietary and confidential

Lesson 1: Centre requires an approach different from the typical IT/BPO processes

A knowledge centre is a different beast from the typical IT/BPO Centre. There are at

least three characteristics unique to a knowledge centre: its capabilities defy precise definition; they are often core to the company; and the talent required is high-skill. Research, analytics and other knowledge-oriented capabilities are capabilities where the deliverables can vary widely on the data-to-insights continuum. Moreover, quality and productivity too are difficult to define and measure for these capabilities. There is often a high level of concern when it comes to changing the operating model for research and analytics. The risk of quality dilution is often seen as far outweighing any benefits from offshoring. The talent profile required for a knowledge centre (high-quality with specialized and/or pedigreed educational backgrounds) has high aspirations and is very conscious of the opportunities before it. These factors make talent retention an additional challenge at a knowledge centre. Thus, organizations need to make a special effort to calibrate their usual approach and provide enough attention to building the knowledge centre.

Nitin's insights:

Given the three unique characteristics that I have described above, it is clear that the approach to building a knowledge centre needs to be different from the more typical IT/BPO processes. This becomes even more critical when the knowledge centre is part of a larger GDC. In such cases, the management will likely be more focused on the IT/BPO processes that are much larger in scale.

Lesson 2: Go Slow to Go Fast

There are tremendous opportunities for a knowledge centre to add value and potentially be a source of competitive advantage for an organization. However, it is perhaps necessary to start small and slow to prove the concept and get the initial buy-in. As mentioned, research and analytics capabilities are not well defined and are difficult to transition. Moreover, it is easy for sceptics to brand offshore capabilities as poor in quality and as not adding value, given the lack of well-defined measures of quality. Any initial missteps can make it very difficult to progress the knowledge centre. It is therefore important to take one's time upfront to establish a very clear and strong value proposition with the primary users.

Nitin's insights:

Propositions need not be fancy – the focus should be on solving some real pain points for the key users. For McKC, the initial value proposition was overnight delivery of analysis for consulting teams based in the US. This helped improve the lifestyle and productivity of the consulting teams. This simple but clear proposition helped McKC establish strong support amongst consultants within McKinsey and was the foundation for McKC's subsequent meteoric rise.

To take the analogy of the hare and tortoise story, in building a knowledge centre the tortoise probably wins over the hare!!

Lesson 3: Ensure ownership on the part of the parent organization

Knowledge and expertise are the foundation of high-quality research and analytics capabilities. However, these are most often not well codified and lie within the minds and laptops of people. Having a close working relationship with these experts is necessary to build expertise within the offshore knowledge centre. Knowledge is transferred not through a transition process but through osmosis as onshore experts and offshore analysts in the knowledge centre work closely together. To ensure that this happens, it is important to have an organizational construct where the onshore organization feels a high level of ownership of the offshore centre. They should see the offshore centre as contributing to their success and not as competition.

Nitin's insights:

At McKinsey Knowledge Centre (McKC), conscious efforts were made to get onshore colleagues ('Practices') to take greater ownership of the Knowledge Centre. McKC was started by building a research 'shared service' that served all offices and practices. Over a period of time, teams specialized in industry and functional knowledge were developed. It was soon realized that progress would be restricted beyond a level without direct ownership by the Practices. At that stage, ownership of those specialized teams (including the P&L contribution) was transferred directly to the Practices. In spite of difficulties for the local management to let go of teams and capabilities, this one step was key to launching the next stage of development at McKC. Direct ownership by the Practices helped develop people as deep subject matter experts, and this contributed to both their professional growth and the next stage of expansion of the knowledge centre.

Lesson 4: Become a source of change for the global research organization

Research set-ups in most organizations are traditional, more art than science. The lack of legacy, and the offshore model and scale of a knowledge centre provide a good opportunity for building new processes and systems for export back to the organization. At McKinsey Knowledge Centre (McKC) this happened in multiple ways. The most significant was in the profile of talent. The research network within McKinsey was historically a support organization. However, when McKC was set up in 1998, the centre started hiring top-quality MBAs. This was a significant departure from the type of talent that was hired traditionally in the research network. This raised awareness of the impact that higher-quality talent can have on research quality, and such profiles have since become the norm in large parts of McKinsey's global research network. Development of McKC also necessitated development of formal 'order taking', workflow management systems, and processes for measuring customer satisfaction. All of these systems were subsequently exported back to the global network and have increasingly become the norm at other research units at McKinsey.

Nitin's insights:

The most significant contribution of McKC to McKinsey's global research network was the complete change it brought about in the architecture of research within McKinsey. Traditionally, research professionals were placed in each of McKinsey's offices. The success of McKC was not just a success of offshore delivery, but it also

proved that consolidation of research in a knowledge centre and creating a well-identified home for knowledge professionals was the right configuration for building research capabilities.

Lesson 5: Innovate and push the boundaries on new services

Once you have reached maturity in your core capabilities it is important to push on innovation and explore how you can create new services for the organization. Innovation is a great opportunity but also an imperative to ensure sustainability for knowledge centres. Given the nature of the capabilities, they can play a material role in advancing the core proposition and potentially the top line of organizations. Equally, developing a new generation of capabilities can provide professional growth opportunities for the high-quality talent you have hired. In the absence of such growth, either you will see attrition or cost creep.

Nitin's insights:

The true success of McKC lay in its development as an innovation hub for McKinsey, by developing services beyond the initial remit of being a 'research back office'. These services have over time transformed how McKinsey serves clients. Well over 50 per cent of the knowledge professionals at McKC work on new services, as opposed to serving in roles that have been transitioned from other offices.

There were essentially three principles that underlay most of the innovation we drove: 1) combination of low cost + hi-quality talent, making it possible to invest in capabilities that would otherwise not be viable, 2) consolidation of expertise to create new knowledge products and IP, and 3) leveraging the co-location of multiple industry, functional and regional capabilities.

A good example of the first principle was the creation of Analytics Services and Centres of Competence. McKinsey historically never had a specialized analytics capability at scale. McKC was a good opportunity to invest in building such a specialized capability, which might not have been feasible to build otherwise. Centres of Competence (CoCs) were about standardizing select modules in client engagements and leveraging high-quality experts based at McKC to deliver them. This has helped McKinsey become more competitive and expand its services to clients, leading to significant top line contributions. This is another great example of leveraging specialized talent at low price points to drive significant innovation. On the second principle, we made many pushes to convert the retained expertise into new knowledge products that could also be taken to clients. McKC is playing an important role in development of proprietary knowledge in McKinsey, helping the firm monetize the investments made in internal knowledge development as client offerings. A powerful example of this is the extension of industry databases into benchmarking services, making it possible to serve clients in new, useful ways.

Finally, leveraging the co-location of capabilities proved to be a massive opportunity. We saw many examples where regional practices were able to consolidate and develop a global practice utility as a result of the existing co-location of those capabilities at McKC. Even in developing many CoCs and proprietary knowledge services, co-location of different research and analytics capabilities was critical. However, I still see leveraging of co-location benefits to be an under-explored

opportunity. To capture this opportunity fully, you need mechanisms to go beyond the existing governance silos. It needs senior management awareness and a strong will to make that happen.

Lesson 6: Strong local capabilities are necessary to drive innovation

While the strong ownership by the Practices was necessary to build the expertise at McKC, the push for its growth as an innovation hub came from local initiatives. Having a local owned shared services capacity and strong leadership is critical in driving innovation.

Nitin's insights:

At McKC, in addition to the Practice-owned research capabilities, there was a shared research service called Knowledge-on-Call (KoC). While KoC's objective was to support all offices and practices on basic research requests, it was also, surprisingly, the nursery for many cutting-edge and specialized capabilities. Even a technically specialized capability such as analytics emerged from KoC. The vertically owned Practice research teams construct was conducive for building subject matter expertise, but the teams also worked along a well-defined and often limiting remit. The KoC construct meant lower expertise but more entrepreneurial freedom and ability to invest. The combination of the latter two factors, along with strong local management, was absolutely critical in driving McKC's outstanding innovation journey.

Lesson 7: Get leadership with experience of the core business

The core success variable for a knowledge centre is not operations efficiency but the ability to integrate with the parent organization and eventually become a source of innovation. Therefore, it is necessary to get leaders who have deep experience and credibility within the core business. In the initial phases, this business experience is helpful in shaping the value proposition for the knowledge centre. In the second stage this experience helps in integrating the GDC with the parent organization. In the later stages, to realize the innovation opportunity, it is necessary to have the full view of the core business, including the end-client needs. Innovation cannot happen in abstraction. For it to be meaningful, innovation has to link two different aspects – gaps in the eventual client service proposition and unique advantages that a knowledge centre might have.

It can be a difficult bridge to make. Leaders who have the business experience and entrepreneurial ability to make the connection between the two can lead a knowledge centre to great success for the organization.

Lesson 8: Create career paths for your talent

While IP is important, the core asset for a knowledge centre is talent. As mentioned, earlier, given that this talent has high aspirations it is imperative to come up with sustainable career paths for them. Money or job security alone is unlikely to retain this talent for very long. Moreover, most of this talent aspires to grow as experts and not as managers (the career path that is easier to provide in an offshore set-up). Therefore, developing and communicating career paths has to be a proactive and not passive process.

There are three key aspects to developing compelling career paths for knowledge centre professionals:

1. Continuous push to develop more value-added capabilities that allow the professionals to challenge themselves and progress.
 2. Opportunities to transfer to 'front office' roles.
 3. Continuous experimentation with people profiles to find match skills and aspirations with service lines they are aligned to.
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Nitin's insights:

At McKC, while we continuously grew new service lines, in sync with that we also continuously expanded our people profiles. We initially used to get MBAs for the KoC, our core research service line. We then moved to hiring chartered accountants and commerce graduates. We eventually moved to hiring graduates from non-finance backgrounds. Increasing standardization and process maturity facilitated this change, and we were able to make the transition without any drop in quality (in fact, client satisfaction metrics improved!!). In parallel, we were able to move the higher pedigree profiles to the newer, value-added service lines we were creating. This process of experimenting with new profiles and mapping them to service lines was critical in creating a stable talent model at McKC.

Lesson 9: Yes, it is about value-add but don't lose sight of cost control

Given the expectations from a knowledge centre, it is easy to lose sight of cost control. Hiring and retaining high-quality talent and ensuring high integration with the parent organization can drive up costs. If this is not managed well, you can go into a cost spiral that can soon erode the cost advantage of the offshore knowledge centre. It need not be so. If you are practical about talent management and administration, you can deliver high-quality capabilities without cost creep. The key lies in the combination of continuous push-on value-added capabilities and experimenting with newer talent profiles.

Nitin's insights:

This allows you to get in lower-cost resources at the base of the pyramid while utilizing the higher-cost resources for more value-added services. This combination of service line growth and talent model experimentation is critical. Standing still on them can lead to significant cost creep.

The other important aspect of cost control is the level of integration of your centre with the parent organization. There is a cost of integration in terms of facility standards, benefits, amount of travel, etc. Many of these aspects (especially travel) might be necessary to build a high-quality knowledge centre. However, it is important to have a reality check and question the value of your expenses. With a practical 80/20 approach, you can manage costs while not compromising on quality.

Nitin's conclusion:

A final point on costs – cost measurement and control is often ignored and not seen as critical in a hi-end capability like a knowledge centre. This is a big mistake. Reduction in the cost to serve in itself might not be a big opportunity for organizations. However, costs are a critical factor when it comes to innovation opportunity. The biggest facilitator of innovation from a knowledge centre is its low-cost structure that lowers the hurdle rate on investments. Thus, a broader range of investment opportunities become viable, which might otherwise not be so. If offshore knowledge centres are not careful about costs they might end up sabotaging a big driver of their innovation engine.

A Knowledge Centre is a significant opportunity to create outstanding business value for an organization. McKC is a wonderful example of not only the breadth and depth of research and analytics capabilities that can be delivered from an offshore centre, but also of how a GDC can become a source of innovation transforming the core client service model for large, global firms like McKinsey. I hope this story becomes an inspiration for many to launch even more exciting and value-creating journeys.